



# Control

Essential in any type of organization, control is fundamental when the primary goal is to generate profits. Control needs to cover costs, resources, and quality of the product or service to ensure that the operation runs smoothly. As well as crossing departments, control has to run from top to bottom, with directors formulating strategy while managers allocate resources, people, materials, and equipment and oversee the work of individuals and teams.

## The chain of control

It is simplest to think of a business as an end-to-end chain. Leaders have to make decisions on business goals, strategy, and policies at the start of the chain. This is critical for control along the chain. If there is no clear direction from the start, problems become exacerbated as they travel

farther along the line. Controls are put in place all the way along the chain to ensure that the organization is working toward its goals, that it meets the desired standards, and that individuals and teams are clear about what is involved in specific tasks.

### Control in practice: strategic control

ABC Cake Company's goal is to be the top-selling cupcake business. Its directors determine the quantity and quality of cupcakes the company needs to sell and whether to invest in a new factory. They also set the scale of investment and estimate when it will begin to yield returns, and how long it will take for the project to repay its full cost (payback period).



### Management control

The management team ensures that everyone meets their targets, talks with other links in the chain, and works seamlessly to be a top-selling cupcake business.

### FUNCTIONS ALONG THE CHAIN

While directors work on strategic investment, policy, and process control, management may use tools such as Six Sigma to perfect operational control. See pp.320–321.

**Investment** relies on cash flowing back into the business from the cupcake sales, balanced by the cost of production.

**Policies** on, say, maintaining the optimum level of inventory are supported along the chain by finance, HR, and IT.

**Processes** are in place to control costs, with continual reviews of the most efficient use of resources.

**Procurement** purchases raw materials from companies that meet its stringent standards.